

Opposing memorandum

MARA-CR-001 | Alternative recommendation: decline pending private diligence

Hypothetical exercise. The \$3.0 million recommendation is an illustrative model result, not evidence that a real facility is safe.

Do not manufacture a collateral constraint

The conditional recommendation is precise but not yet persuasive. Its binding cap comes from an invented 4.0 million USDC lot and invented costs. The waterfall demonstrates a method; it does not establish an economically appropriate limit for MARA.

Scale points toward a different question

MARA reported \$421.3 million of cash and cash equivalents and 26,307 unrestricted bitcoin at June 30, 2026 (SRC-001). A \$5.0 million request is about 1.2% of reported cash. Reducing the request by \$2.0 million because synthetic collateral supports only \$3.046 million creates false precision.

The same filings report about \$2.4 billion of debt, meaningful near-term obligations, designated cash, and \$802.7 million of operating cash use in 2025 (SRC-001, SRC-002). Those facts justify private diligence. They do not justify letting fictional collateral replace primary repayment analysis.

Alternative decision

Decline on the present record. Obtain the facility purpose, borrowing-entity financials, 13-week cash forecast, legal-entity cash map, complete debt-service schedule, and actual collateral terms. If the evidence supports repayment, assess the full \$5.0 million request directly. If it does not, a smaller secured exposure is not automatically safe.

Why this alternative is stronger

1. It does not treat a lower number as conservative merely because a model produced it.
2. It keeps collateral recovery subordinate to operating repayment capacity.
3. It refuses to turn onchain visibility into ownership, priority, or enforceability.
4. It identifies the exact evidence needed to resolve the disagreement.

Disputed assumption

The disputed assumption is the \$7.5 million obligor cap. A reconciled cash forecast and debt-service schedule at the borrowing entity, including downside liquidity and covenant headroom, would resolve the dispute. Until then, the collateral waterfall belongs in sensitivity analysis, not as the sole basis for approval.

Committee question

Would the committee rather approve a smaller number supported by synthetic collateral, or decline until it can underwrite actual repayment capacity? The opposing view chooses the latter.